Fabio Franceschini

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Fields of Interest

Macro-Finance, Empirical Asset Pricing, Economic Growth, Green Finance

References

M. Gonzalez-Eiras
Associate Professor
University of Bologna

P. Peretto
Full Professor
Duke University

L. Trapani
Professor of Econometrics
University of Pavia

Education

PhD in Economics **2024**
University of Bologna, Italy
Advisors: M. Gonzalez-Eiras, M. M. Croce

Visiting Student at *London Business School*, UK 2022-23
Host: H. Kung

Health-related leave (May 2021 – Mar 2022)

Visiting Student at *Bocconi University*, IT 2020-21
Host: M.M. Croce
Coursework: Advanced Topics in Asset Pricing (A+),
Econometric Methods for Finance and Macro (A-)

Visiting Student at *Vienna Graduate School of Finance*, AT 2020
Host: C. Wagner

MSc in Advanced Economics and Finance **2018**
Copenhagen Business School, Denmark

Electives at the *University of Copenhagen* (Faculty of Science) 2017

BSc in Business Administration **2016**
University of Bologna, Italy

HSD in Mechanical Engineering **2013**
I.I.S. Aldini Valeriani, Italy

Academic positions

Research Fellow **2024-2025**
University of Bologna, Italy

Job Market Paper

The Social Cost of Carbon in Asset Prices: Emissions as Long-Run Risk

This paper recovers the social cost of carbon from a global cross-section of asset returns. I show that this is feasible as long as exposure to global emissions shocks earns a risk premium, which, in turn, requires the shocks to affect economic activity in the long run and agents to prefer early resolution of uncertainty. The premium then reflects how investors value the effects of emissions along the entire future consumption path. I provide empirical evidence that both conditions hold, with emissions shocks identified as innovations to the Earth's energy imbalance, the driver of future warming in climate models, net of weather and economic activity. Their effects on world output and consumption materialize beyond business-cycle horizons, and exposure to them does carry a significantly negative risk premium across test assets spanning multiple asset classes, corroborating their role as a source of long-run risk. Under conventional preference parameterizations, the 2025 social cost of carbon is estimated at \$100 to \$1,000 per tonne of CO_2 (2020 US dollars), with significant variation over time.

Publications

The Innovation Long-Run Risk Component
Journal of Monetary Economics, 2026, Vol. 163

Working papers

Does CAPM Overestimate Risk or Its Price More?

Are You Betting On Sustainability?

Research in progress

Uncertain Innovation
with *A. Renzetti*

State-Dependent Asset Pricing Models
with *E. Ossola* and *L. Trapani*

Local Physical Climate Uncertainty
with *G. Cavaliere* and *L. Fanelli*

Teaching experience

Teaching Assistant

Asset Pricing (Grad), TA to G. Camera and M. Eiras *University of Bologna,* Italy	2021-27
Financial Econometrics (Grad), TA to G. Moramarco and E. Bacchiocchi *University of Bologna,* Italy	2024-27
Financial Economics (UGrad), TA to G. Camera *University of Bologna,* Italy	2020
Macroeconomics 2 (UGrad), TA to A. Sørensen *Copenhagen Business School,* Denmark	2018

Professional Experience

Research Assistant 2017
Copenhagen Economics A/S, Denmark *(9 mo.)*

Planning and Control Intern 2014
Bologna Local Health Authority, Italy *(3 mo.)*

Academic service

Refereeing

Ecological Economics, Economic Modelling

Organization

Scientific committee member, Bologna Macro Meeting 2025
University of Bologna, Italy

Organizer, Reading Group in Macro-Finance 2019-21
University of Bologna, Italy

Representation

Research Fellows Representative, Council of Department 2024
University of Bologna, Italy

PhD Students Sole representative, Council of Department 2019-22
University of Bologna, Italy

Memberships

Italian Financial Economists Association 2025-Now

Grants and honors

"INFER Young Economist Award" – Finalist, INFER Annual Conference 2025

"Marco Polo Mobility Scholarship", University of Bologna 2022-23

"PhD Scholarship", University of Bologna 2018-23

"Er.Go Scholarship", Regional Authority for the Right to Higher Education 2013-16

"Best laboratory report", Laboratory of Excellence 'Aldini-Ducati' 2012

Presentations

2026: "International and Monetary Economics Network" seminar series; FinEML Conference** (University of Geneva, CH); University of Bologna (IT); RCEA International Conference** (Comillas Pontificia University, ES); UCSC (Milan, IT); 2nd CAM-Risk Conference (University of Pavia, IT); University of Milano-Bicocca (IT)

2025: 3rd Sustainable Finance Workshop (University of Venice, IT); 27th INFER Annual Conference (Sapienza University, IT); 11th ICEEE** (University of Palermo, IT); 2nd Climate-Macro-Finance Interface Conference (Bayes Business School, UK); University of Milano-Bicocca (IT); "GrEnFiN Frontiers" seminar series

2024: University of Bologna (IT); "INSPIRE" seminar series

* planned; ** by coauthor

Relevant IT skills

Advanced: LaTeX, R

Basic: Matlab, Python, MS Excel, Stata, MS Access